

Startup India Scheme – Detailed Government Scheme Report

Scheme Name

Startup India Scheme

Launched By: Government of India

Implemented By: Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry

Official Website:

[Startup India Portal](#)

DPIIT Information:

[DPIIT Official Website](#)

1. Introduction

The Startup India Scheme is a flagship initiative launched by the Government of India to promote entrepreneurship, innovation, and startup growth across the country. The initiative was announced by Narendra Modi on 15 August 2015, and the Startup India Action Plan was officially launched on 16 January 2016.

The primary aim of the scheme is to build a strong startup ecosystem that supports innovation, generates employment opportunities, encourages investment, and contributes to India's economic development. Startup India provides startups with various benefits such as tax exemptions, funding support, self-certification compliance, intellectual property assistance, incubation support, and easier access to government procurement opportunities.

2. Objectives of Startup India

The major objectives of the Startup India Scheme are:

1. Promote Entrepreneurship

To encourage individuals to establish innovative businesses.

2. Generate Employment

To create large-scale job opportunities across various sectors.

3. Encourage Innovation

To support development of new technologies, products, and services.

4. Boost Economic Growth

To contribute towards India's GDP and industrial development.

5. Attract Investments

To create a favorable environment for domestic and foreign investments.

6. Support Startups Financially

To provide funding opportunities through government-supported initiatives.

7. Simplify Regulations

To reduce legal and compliance burdens for startups.

3. Background of Startup India

Before Startup India, many entrepreneurs faced challenges such as:

- Lack of funding
- Complex registration procedures
- High compliance costs
- Limited investor access
- Difficult patent registration process
- Regulatory barriers

To address these issues, the Government introduced Startup India to create a supportive environment for startups and innovation-driven businesses.

4. Key Features of Startup India

Feature	Details
Scheme Name	Startup India
Launch Year	2016
Implementing Agency	DPIIT
Beneficiaries	Startups and Entrepreneurs
Registration Mode	Online
Recognition Authority	DPIIT
Tax Benefits	Available
Funding Support	Available
Patent Support	Available
Compliance Benefits	Available

5. Eligibility Criteria

To obtain DPIIT Startup Recognition, the entity must satisfy the following conditions:

Company Type

The startup must be registered as:

- Private Limited Company
- Limited Liability Partnership (LLP)
- Registered Partnership Firm
- Cooperative Society

Age of Startup

- Startup should not exceed 10 years from incorporation.
- DeepTech startups may receive recognition for up to 20 years.

Annual Turnover

- Annual turnover should not exceed ₹200 crore in any financial year.
- DeepTech startups can have turnover up to ₹300 crore.

Innovation Requirement

The startup should:

- Develop innovative products or services
- Improve existing solutions
- Use technology-driven business models
- Create employment opportunities
- Generate wealth creation

Original Entity

The company should not be formed by:

- Splitting an existing business
- Reconstruction of an existing enterprise

6. DPIIT Recognition

DPIIT Recognition is the official certification that identifies a business as a recognized startup under Startup India.

Importance of DPIIT Recognition

It acts as a gateway to:

- Tax exemptions

- **Startup India Seed Fund**
- **Patent benefits**
- **Government tenders**
- **Self-certification compliance**
- **Investor credibility**

Only DPIIT-recognized startups can access most Startup India benefits.

7. Benefits of Startup India Scheme

A. Income Tax Exemption

Eligible startups can receive:

100% Income Tax Exemption

For any 3 consecutive years out of the first 10 years after incorporation under Section 80-IAC.

Conditions:

- **Must be DPIIT recognized.**
 - **Must obtain approval from the Inter-Ministerial Board (IMB).**
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B. Self-Certification Compliance

Startups can self-certify compliance under:

Labour Laws

- **Employees Provident Fund Act**
- **Employees State Insurance Act**
- **Various labour regulations**

Environmental Laws

- **Selected environmental compliance requirements**

Benefits:

- **Reduced inspections**
 - **Lower compliance burden**
 - **Faster operations**
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C. Patent and Intellectual Property Benefits

Recognized startups receive:

Patent Benefits

- 80% rebate on patent filing fees
- Fast-track patent examination
- Government-supported facilitators

Trademark Benefits

- 50% reduction in trademark filing fees

This encourages innovation and intellectual property creation.

D. Easier Public Procurement

Startup India allows startups to participate in government tenders with relaxed conditions.

Benefits include:

- Exemption from prior experience requirements
- Exemption from turnover requirements
- Better market access

This helps startups compete with larger companies.

E. Easy Company Closure

Recognized startups can wind up operations more easily under fast-track procedures.

Benefits:

- Reduced legal complexity
 - Faster closure process
 - Lower compliance burden
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8. Startup India Seed Fund Scheme (SISFS)

The Startup India ecosystem supports funding through the:

Startup India Seed Fund Scheme

Funding support includes:

Funding Type	Maximum Amount
Proof of Concept	₹20 Lakh
Prototype Development	₹50 Lakh

The funds are generally distributed through government-recognized incubators.

Purpose:

- Product development
 - Market entry
 - Commercialization
 - Prototype creation
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9. Fund of Funds for Startups (FFS)

The Government established the:

Fund of Funds for Startups

Managed by:

Small Industries Development Bank of India

Objectives:

- Support venture capital investments
- Increase startup funding availability
- Strengthen startup ecosystem

Instead of directly funding startups, the fund invests in venture capital funds that invest in startups.

10. Startup India Registration Process

Step 1: Incorporate the Business

Register as:

- Private Limited Company
 - LLP
 - Partnership Firm
 - Cooperative Society
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Step 2: Create Account

Visit:

[Startup India Registration Portal](#)

Create a user account.

Step 3: Apply for DPIIT Recognition

Fill details including:

- **Company information**
 - **Founder information**
 - **Business description**
 - **Innovation details**
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Step 4: Upload Documents

Required documents include:

- **Certificate of Incorporation**
 - **PAN Card**
 - **Business Description**
 - **Director Details**
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Step 5: Verification

DPIIT reviews the application.

Step 6: Recognition Certificate

After approval, a DPIIT Recognition Certificate is issued.

11. Documents Required

The following documents are commonly required:

1. **Certificate of Incorporation**
2. **PAN Card**
3. **Aadhaar Card**
4. **Director/Partner Details**
5. **Startup Description**
6. **Website Details (if available)**
7. **Pitch Deck (optional)**
8. **Innovation Explanation**

9. Business Model Information

12. Startup India Learning Program

The Startup India portal provides:

- Entrepreneurship courses
- Startup guidance
- Legal support
- Funding information
- Mentorship programs
- Incubator access

These programs help entrepreneurs improve business skills and startup management capabilities.

13. Role of Incubators

Incubators support startups by providing:

- Mentorship
- Infrastructure
- Networking opportunities
- Funding assistance
- Technical support

Many government-supported incubators help startups obtain seed funding and business guidance.

14. Challenges Faced by Startups

Despite government support, startups often face:

Financial Challenges

- Fundraising difficulties
- Cash flow management

Market Challenges

- Customer acquisition
- Competition

Operational Challenges

- Talent hiring

- **Scaling operations**

Regulatory Challenges

- **Documentation**
- **Compliance requirements**

Startup communities frequently discuss portal issues, verification delays, and funding competition, though many founders also report successfully receiving grants and support through Startup India programs.

15. Recent Improvements

Recent policy updates expanded Startup India eligibility:

Updated Turnover Limits

- **Increased from ₹100 crore to ₹200 crore.**

DeepTech Startup Category

- **Recognition up to 20 years.**
- **Turnover limit up to ₹300 crore.**

Cooperative Society Eligibility

- **Cooperative societies can now qualify under Startup India.**
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16. Impact of Startup India

Startup India has significantly contributed to:

- **Growth of entrepreneurship**
- **Employment generation**
- **Technology innovation**
- **Investment attraction**
- **Expansion of startup ecosystem**
- **Development of incubators and accelerators**

The initiative has helped create one of the world's largest startup ecosystems. DPIIT has also partnered with major companies to strengthen innovation and manufacturing opportunities for startups.

17. Advantages of Startup India

Economic Benefits

- Job creation
- Economic growth
- Increased investments

Business Benefits

- Easier compliance
- Tax savings
- Government support

Innovation Benefits

- Patent support
- Research encouragement
- Technology development

Social Benefits

- Youth entrepreneurship
- Women entrepreneurship
- Rural innovation

18. Conclusion

The Startup India Scheme is one of the most important initiatives launched by the Government of India to promote entrepreneurship, innovation, and economic development. Through DPIIT recognition, startups gain access to tax exemptions, funding opportunities, intellectual property support, compliance benefits, and government procurement advantages. The scheme encourages young entrepreneurs to transform innovative ideas into successful businesses while contributing to employment generation and national growth. By strengthening India's startup ecosystem, Startup India plays a crucial role in building an innovation-driven economy and supporting the vision of an entrepreneurial nation.

Quick Summary

Particular	Details
Scheme Name	Startup India
Launch Year	2016
Ministry	Ministry of Commerce and Industry
Implementing Agency	DPIIT

Particular	Details
Beneficiaries	Startups and Entrepreneurs
Registration	Online
Tax Exemption	3 Years under 80-IAC
Patent Rebate	80%
Trademark Rebate	50%
Funding Support	Seed Fund & Fund of Funds
Startup Age Limit	10 Years
Turnover Limit	₹200 Crore
Official Portal	Startup India